

DIGITALAIKART ORIGINAL

The new rules that are
reshaping every salary slip in India

NEW LABOUR CODES 2026

Your Salary, PF and Gratuity Guide

What the new wage definition and the ₹25,000 EPFO ceiling
actually mean for your take-home pay, provident fund and gratuity.

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Digital Edition · For salaried employees, HR and payroll teams in India

What Is Inside This Guide

Four old labour laws became four new Codes, the wage rules changed, and the EPFO ceiling jumped to ₹25,000. This guide turns all of that into plain English — and tells you exactly what to check on your own salary slip.

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1. The Big Picture	What changed, when, and why it matters to you
2. The 50 Percent Wage Rule	The single change most salaries will feel
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How to Use This Guide

Read it in order the first time — the chapters build on each other. After that, treat it as a reference: when your company sends a revised salary structure, open Chapter 3 and check it line by line. When you are about to resign or switch jobs, open Chapter 6. If you are on a fixed-term contract, jump straight to Chapter 5, because the rules changed in your favour.

Every figure in this guide was checked against official sources in October 2026. Labour is a shared subject between the Centre and the states, so where a state has its own notified rules, those apply on top of the central rules. Chapter 12 explains how to check the position for your own state.

A note before you start

This guide explains the law in simple language so you can ask better questions and check your own payslip. It is general information, not legal or financial advice about your specific case. Employment terms, contracts and state rules vary. For anything important — a dispute, a settlement, a tax position — confirm with your HR team, an employment lawyer or a qualified adviser.

1. The Big Picture

India replaced 29 separate labour laws with four Codes. They came into force on 21 November 2025. The rules that tell employers how to apply them were notified in May 2026. And in September 2026 the EPFO wage ceiling was raised. Here is the timeline you need to know.

What the four Codes are

For decades, India's labour law sat in dozens of separate Acts, each with its own definition of wages, worker and establishment. Parliament consolidated them into four Codes:

Code	What it covers
Code on Wages, 2019	Minimum wages, timely payment, the definition of wages, bonus and equal pay.
Industrial Relations Code, 2020	Trade unions, standing orders, disputes, strikes and retrenchment.
Code on Social Security, 2020	Provident fund, pension, ESI, gratuity, maternity benefit and gig-worker welfare.
Occupational Safety, Health and Working Conditions Code, 2020	Working hours, safety, contract labour and working conditions.

The timeline that matters

Date	What happened
21 Nov 2025	All four Codes came into force. 29 central labour laws were repealed.
30 Dec 2025	The Centre republished the draft central rules for all four Codes for comments.
8-9 May 2026	Final central rules for all four Codes were notified, making them fully workable at the central level.
29 May 2026	A notification fixed the EPF wage ceiling at ₹15,000 under the new Social Security Code — the same figure as before, carried over.
29 Jun 2026	The Employees' Provident Fund Scheme 2026 was notified, effective 1 July 2026, aligning PF with the new wage definition.
17 Sep 2026	The Union Cabinet approved raising the EPFO wage ceiling from ₹15,000 to ₹25,000 per month, effective that day.

Why this reaches your salary slip

The Code on Wages created one definition of “wages” for the whole country. Because provident fund, gratuity and bonus are all calculated on wages, that single definition quietly changes how much is deducted from your pay and how much is set aside for your future. Then, in September 2026, the EPFO ceiling rise brought lakhs of additional employees into mandatory provident fund coverage.

The one-line summary

Your basic pay and allowances may be rearranged so that at least half your pay counts as “wages”. That lifts your provident fund and gratuity base. Your monthly take-home may dip slightly, while your retirement savings grow. The next chapters show the numbers.

2. The 50 Percent Wage Rule

This is the change most salaried people will feel. It is not a pay cut. It is a rule about how your pay is labelled — and it decides the base on which your PF and gratuity are calculated.

What “wages” now means

Under Section 2(y) of the Code on Wages, 2019, wages include basic pay, dearness allowance and retaining allowance. A list of other items is excluded — house rent allowance, conveyance, overtime, bonus, employer contributions to provident fund, and similar items.

Then comes the important part. If all those excluded items together add up to more than 50 percent of your total remuneration, the excess is added back and treated as wages. In other words, at least half of your pay must count as wages for the purpose of PF, gratuity and bonus. This came into effect on 21 November 2025.

Why the rule exists

Many employers kept basic pay low — often 25 to 40 percent of the total — and pushed the rest into allowances. That reduced the employer's PF and gratuity liability, and it also reduced what you saved for retirement. The 50 percent floor closes that gap.

A worked example

Take a monthly cost-to-company of ₹50,000.

Component	Old structure (30% basic)	After the 50% rule
Basic + DA (wages)	₹15,000	₹25,000
Allowances (HRA, special, etc.)	₹35,000	₹25,000
Total (unchanged)	₹50,000	₹50,000

Your total pay does not change. What changes is the wage base: it rises from ₹15,000 to ₹25,000. Because PF is 12 percent of wages, your monthly PF deduction rises from ₹1,800 to ₹3,000. Your employer's matching contribution rises by the same amount. Your take-home falls by ₹1,200 a month, but ₹1,200 more goes into your own retirement savings, plus the employer's extra ₹1,200.

What is included and what is not

Usually part of “wages”	Usually excluded (but capped at 50%)
Basic pay	House rent allowance (HRA)
Dearness allowance (DA)	Conveyance allowance
Retaining allowance	Overtime pay
(Some special allowances, to the extent they push the excluded total above 50%)	Statutory bonus

Usually part of “wages”	Usually excluded (but capped at 50%)
	Employer contribution to provident fund

A point many people miss: annual performance incentives are not treated as wages for these calculations, and the excluded list has a ceiling. The moment the excluded items cross half of your total remuneration, the excess becomes wages by law — it does not wait for an audit.

3. Your Salary Slip, Decoded

When your employer restructures pay to follow the 50 percent rule, your salary slip will look different even though your total pay is the same. Here is how to read it.

The five lines that matter

1. Basic pay. The anchor of the whole slip. Under the new rule it will usually rise so that basic plus DA is at least half your pay.
2. Dearness allowance (DA). Added to basic for the wage calculation. Most private-sector employers pay a fixed amount or none.
3. Allowances (HRA, conveyance, special). These may shrink to keep your total pay the same while basic rises.
4. Deductions — employee PF. Now 12 percent of the new, higher wage base.
5. Employer contributions (shown for information). 12 percent of wages, of which 8.33 percent goes to the pension scheme and the balance to provident fund.

A before-and-after slip (CTC ₹60,000 a month)

Line	Old slip	Revised slip
Basic pay	₹18,000	₹30,000
Dearness allowance	—	—
HRA and other allowances	₹42,000	₹30,000
Gross	₹60,000	₹60,000
Employee PF (12% of wages)	₹2,160	₹3,000
Take-home (before tax)	about ₹57,840	about ₹57,000

The exact numbers depend on your employer's structure and the PF ceiling, which is explained next. The direction is always the same: basic and PF rise, allowances fall, take-home dips a little, long-term savings grow.

Check this every time your structure changes

Compare your gross pay before and after. If gross is the same but basic has risen, you have been restructured, not cut. If your PF deduction has risen while your basic stayed low, ask HR which wage base they are using — it should follow the 50 percent rule.

4. Provident Fund and the ₹25,000 Ceiling

On 17 September 2026 the government raised the EPFO wage ceiling from ₹15,000 to ₹25,000 per month. This is the biggest provident-fund change in over a decade, and it affects lakhs of employees who were earlier outside mandatory coverage.

What the ceiling means

The EPFO wage ceiling is the maximum monthly wage on which mandatory provident fund, pension and insurance contributions are computed. Until September 2026 it was ₹15,000, a figure that had not moved since 2014. The Cabinet approved raising it to ₹25,000, effective 17 September 2026.

If your monthly wages (basic + DA) are	What applies
Up to ₹25,000	You come under mandatory EPF, EPS and EDLI coverage. Both you and your employer contribute on wages up to ₹25,000.
Above ₹25,000	Statutory contribution is generally computed on the ₹25,000 ceiling, unless you are already contributing on higher wages under an approved arrangement.

The contribution maths

Both you and your employer contribute 12 percent of wages. The employer's 12 percent is split: 8.33 percent goes to the Employees' Pension Scheme (EPS) and the balance to your provident fund account.

PF wage base	Employee 12%	Employer 12% (EPS 8.33% + EPF balance)
₹15,000 (old ceiling)	₹1,800	₹1,800 (EPS ₹1,250 + EPF ₹550)
₹25,000 (new ceiling)	₹3,000	₹3,000 (EPS about ₹2,083 + EPF about ₹917)
₹20,000	₹2,400	₹2,400

Read the table this way: an employee whose PF was capped at ₹15,000 now contributes ₹3,000 instead of ₹1,800. That is ₹1,200 more a month from you, matched by your employer. Over a year that is roughly ₹28,800 extra going into your provident fund, before interest. It also raises the pensionable salary used for your EPS pension.

What to check on your passbook

Log in to your EPFO member portal (passbook.epfindia.gov.in) or the UMANG app and open your passbook. Check (1) the wage on which contributions are shown, (2) whether your employer has moved to the ₹25,000 ceiling, and (3) that the monthly deposit matches your slip. Employers must deposit contributions by the 15th of the following month.

What did not change

- Contribution rates stay at 12 percent each.

- Your UAN and account stay the same — no fresh enrolment is needed.
- The EPS pension formula and EDLI insurance cover continue as before.
- Employees above the ceiling who already contribute on higher wages are not forced down to the ceiling.

One caution: if your employer used to match PF on your full basic and now moves to the ceiling only, that is a change to your terms. It should be discussed with you, not slipped through payroll silently.

5. Gratuity, Explained

Gratuity is the lump sum your employer pays for long service. The new Code on Social Security changed who qualifies — and because your wage base is now higher, the amount is larger too.

Who is eligible

- Permanent employees: after five years of continuous service with the same employer.
- Fixed-term employees: now eligible for proportionate gratuity after just one year of service — reduced from five. This is a real gain for contract and project staff.
- The service requirement is waived entirely if employment ends because of death or disablement.

How it is calculated

For an establishment covered by the gratuity provisions (broadly, ten or more employees), the formula is:

$$\text{Gratuity} = (15 / 26) \times \text{last drawn wages (basic + DA)} \times \text{completed years of service}$$

The 15 stands for fifteen days' wages for each year served, and 26 for the working days in a month. If your final year includes more than six months, it rounds up to a full year. Only basic pay and dearness allowance count — not HRA, bonus or overtime.

Three worked examples

Situation	Last drawn wages (basic + DA)	Service	Gratuity
Resigned after 10 years	₹40,000	10 years	₹2,30,769
Retired after 25 years	₹1,00,000	25 years	₹14,42,308
Fixed-term contract	₹50,000	3 years	₹86,538

Tax on gratuity

For non-government employees, the amount exempt from tax is the least of: the gratuity actually received, ₹20 lakh, or the amount worked out by the formula. The ₹20 lakh is a lifetime limit — exemption claimed from an earlier employer reduces what is left for the next one. Government employees' gratuity is fully exempt. The exemption is available whichever income-tax regime you choose.

Because your wage base rises under the 50 percent rule, your gratuity is now calculated on a higher last-drawn wage. If you stay with an employer for years, this is one of the quiet wins of the reform.

Payment deadline

Gratuity must normally be paid within 30 days of it becoming payable. If the employer delays beyond that, they are liable to pay interest on the amount. Keep your resignation acceptance and last payslip — you may need them.

6. Full and Final Settlement

The Code on Wages introduced a sharp new deadline for your last pay. This is one of the most useful changes if you are switching jobs.

The two-working-day rule

Under Section 17 of the Code on Wages, when your employment ends — whether by resignation, removal, dismissal, retrenchment or closure — the wages due to you must be paid within two working days of your last working day. Earlier, many employers took 30 to 45 days.

What “two working days” covers — and what it does not

Component	Timeline
Wages earned up to your last working day	Within two working days of exit
Gratuity	Its own timeline under the Social Security Code (normally within 30 days)
Provident fund	Processed through the EPFO's own system and schedule
Leave encashment	Usually as per company policy

So when HR quotes a single “full and final” date, remember that the two-day clock applies specifically to your wages. Ask for each component on its own timeline.

Before you leave a job

Collect in writing: your last payslip, a full and final statement showing every component, and confirmation of the PF and gratuity position. If wages are not paid within two working days, that is a breach — you can raise it with the Inspector-cum-Facilitator or the labour authority.

7. Timely Wages and Payslips

Two everyday protections got stronger under the new Code: when you must be paid, and what you must be given as proof.

When wages must be paid

You are paid	Deadline
Daily	At the end of the shift
Weekly	Before the weekly holiday
Fortnightly	Within two days of the fortnight ending
Monthly	Within seven days of the following month
On leaving a job	Within two working days of the last working day

Crucially, these timely-payment protections now apply to every employee, not just those earning up to ₹24,000 a month as before. Blue-collar and white-collar staff are covered the same way.

Your right to a wage slip

Your employer must give you a wage slip — electronically or on paper — on or before the day wages are paid. The slip is your proof of employment and earnings, and it is now required across organised and unorganised work, including daily-wage and contract staff.

Limits on deductions

The Code on Wages caps the total of all permitted deductions at 50 percent of your wages. This matters when voluntary PF, insurance or recovery of advances are stacked on top of statutory deductions.

If your wages are late

Note the date you should have been paid, keep your payslips and bank statements, and raise it in writing with HR first. If it continues, the matter can go to the labour authority, and the period within which you can file a claim has been extended to three years.

8. Bonus Under the New Code

The bonus rules were consolidated into the Code on Wages. Here is the simple version.

- Statutory bonus applies to employees drawing wages up to the amount notified by the appropriate government, who have worked at least 30 days in the accounting year.
- The minimum bonus is 8.33 percent of wages earned in the year, and the maximum is 20 percent.
- Bonus is calculated on wages as now defined, so a higher wage base can mean a higher bonus for eligible employees.

If you are unsure whether you qualify, check the wage ceiling notified for your state and whether your employer is covered. Employers must keep records and pay within the timelines set by the Code.

9. Working Hours and Overtime

The Occupational Safety, Health and Working Conditions Code set the standard working-day limits and strengthened overtime pay.

- Normal working hours: 8 hours a day and 48 hours a week.
- Overtime: paid at twice the normal wage rate, and only with the worker's consent.
- Weekly rest: at least one rest day a week, with a cap of ten consecutive working days without rest.
- Flexibility: shifts can be rearranged — for example longer days on fewer days — as long as the 48-hour weekly limit is not crossed.
- Night work for women: now permitted across establishments nationally, with the employee's consent and safety arrangements provided by the employer.

A compressed work week is sometimes described as a “four-day week”. Read the fine print: the weekly cap stays at 48 hours, so four days means longer days, not a shorter week. Most employers have kept a five-day week with more flexibility.

If you work overtime

Overtime at double the normal rate applies once you cross 8 hours in a day or 48 hours in a week. With digital attendance systems, the hours are easier to prove — so keep your own record of extra hours worked and raise discrepancies early.

10. Gig and Platform Workers

For the first time, Indian law defines gig workers, platform workers and the aggregators that engage them — and gives them a place in the social security net.

What changed

- The Code on Social Security defines gig workers, platform workers and aggregators.
- Aggregators — food delivery, ride-hailing and similar platforms — must contribute 1 to 2 percent of their annual turnover, capped at 5 percent of the amount paid to gig and platform workers, into a social security fund.
- Schemes under the fund can cover life and disability cover, accident insurance, health and maternity benefits, and old-age protection.
- Aadhaar-linked registration and a Universal Account Number make benefits portable across states.

What a gig worker should do now

1. Register on the e-Shram portal to get your Universal Account Number.
2. Keep your platform ID, payout statements and any accident cover details together.
3. Check the platform's communications for social-security scheme enrolment as the schemes are notified.

The exact scheme design and contribution mechanics are still being notified, so watch official announcements rather than social-media claims.

11. Appointment Letters and Documents

A simple but powerful change: every employer must now issue an appointment letter to every employee.

What you should receive

- A written appointment letter setting out your role, pay and terms.
- A wage slip every pay period.
- Accurate records of your provident fund and, where applicable, ESI membership.
- Information about the single registration and unified return your employer files under the Codes.

Why the appointment letter matters

An appointment letter is proof of your employment history, your designation and your agreed pay. It helps you claim gratuity, prove continuous service, and resolve disputes. If you have been working without one, ask for it in writing — the Code now requires it.

Keep these five documents safe

Appointment letter, latest salary structure, last three payslips, PF passbook screenshot, and your resignation or exit correspondence. Together they let you verify almost any entitlement later.

12. State-Wise Rules

Labour is a subject shared between the Centre and the states. The Codes apply across India, but each state notifies its own rules, and those can change the detail that applies to you.

How it works

The central Codes came into force nationwide on 21 November 2025, and the central rules were notified in May 2026. Because labour is on the Concurrent List, every state and union territory also frames its own rules. Until a state notifies fresh rules, employers in that state follow the central rules together with the legacy state rules and any transitional notifications.

Where states stood in early October 2026

Status	States and union territories (indicative)
Final rules in force under all four Codes	Andhra Pradesh, Arunachal Pradesh, Bihar, Gujarat, Ladakh
Final rules in force under some Codes	Lakshadweep, Rajasthan, Uttar Pradesh, Uttarakhand, Jammu and Kashmir, Mizoram
Draft rules only	Maharashtra, Karnataka, Tamil Nadu, Delhi, Haryana, Telangana and most others

This is a moving picture — states notify rules through the year, so treat the table as a starting point, not the last word.

How to check your own state

1. Search your state's labour department website for “Code on Wages Rules” and the year.
2. Look for the word “final” or “notified” and a gazette date — draft rules create no duty yet.
3. Ask your HR which rules they are applying and from which date.

13. Your Action Checklist

Here is the practical part. Do these things in order.

For employees — ten steps

1. Get your revised salary structure in writing and compare gross pay before and after.
2. Check that basic pay plus DA is at least half your total pay.
3. Confirm the wage base your employer uses for PF — it should follow the 50 percent rule and the ₹25,000 ceiling.
4. Open your EPFO passbook and verify the monthly contribution and the wage shown.
5. Work out your new take-home and adjust your monthly budget for the small dip.
6. Note your gratuity entitlement using the 15/26 formula and your completed years.
7. If you are on a fixed-term contract, remember gratuity now applies after one year.
8. Make sure you have an appointment letter; request one if you do not.
9. Keep your payslips, PF screenshots and appointment letter safely.
10. Before switching jobs, ask for each exit component on its own timeline.

For HR and payroll teams — quick compliance list

- Re-run every cost-to-company structure against the 50 percent wage rule, employee by employee.
- Update PF, ESI and gratuity calculations to the new wage definition and the ₹25,000 ceiling.
- Issue appointment letters to all employees and keep records under the single registration and unified return.
- Update full and final settlement to pay wages within two working days of exit.
- Review working hours, overtime and night-shift policy against the OSH Code and your state rules.

The 30-minute version

If you only do three things today: (1) check your PF passbook, (2) compare your old and new salary structure line by line, and (3) work out your gratuity with the 15/26 formula. Those three steps tell you most of what the reform means for you.

14. Frequently Asked Questions

Did my salary go down because of the labour codes?

Your total pay did not change. Your take-home may be a little lower because more of your pay is now classified as wages, so your provident fund deduction rises. That extra money goes into your own retirement savings, and your employer contributes a matching amount.

Will my PF contribution really increase?

It depends on your wage base. If your basic pay was kept low and allowances high, the 50 percent rule lifts your PF wage, so your 12 percent contribution rises. If your PF was already computed on a wage above the ₹25,000 ceiling, the change is limited.

What is the new EPFO wage ceiling?

₹25,000 a month, effective 17 September 2026, raised from ₹15,000. Employees drawing up to ₹25,000 in wages now come under mandatory EPF, EPS and EDLI coverage.

I am on a fixed-term contract. Do I get gratuity?

Yes. Under the Code on Social Security, fixed-term employees are eligible for proportionate gratuity after one year of service, down from five years for permanent staff.

How much of my gratuity is tax-free?

For non-government employees, the exempt amount is the least of the gratuity received, ₹20 lakh, or the formula amount. The ₹20 lakh is a lifetime limit. Government employees' gratuity is fully exempt.

When must my last salary be paid?

Wages due on resignation, removal, dismissal, retrenchment or closure must be paid within two working days of your last working day. Gratuity and PF follow their own separate timelines.

Do I still need five years for gratuity?

Permanent employees still need five years of continuous service. The one-year rule applies to fixed-term employees. The requirement is waived on death or disablement.

Does the four-day work week apply to me?

There is no automatic four-day week. The weekly limit stays at 48 hours, so a compressed week means longer days. Most employers have kept a five-day week with more flexibility.

I am a gig worker. What should I do?

Register on the e-Shram portal to get your Universal Account Number and keep your platform payout records. Watch official announcements as the social security schemes for gig and platform workers are notified.

Which rules apply to me — central or state?

The Codes apply across India. Your state may have notified its own rules that apply on top of the central rules. Check your state labour department for the current position, and ask your HR which rules they follow.

Is this legal advice?

No. This guide is general information to help you understand the changes and check your own payslip. For your specific case, confirm with your HR team or a qualified professional.

Glossary and Sources

A few terms in plain English

Term	Meaning
Wages	Basic pay, dearness allowance and retaining allowance, plus any allowances that push excluded items above half your pay.
CTC	Cost to company — your total pay package before deductions.
EPFO	Employees' Provident Fund Organisation, which runs the provident fund, pension and insurance schemes.
EPS	Employees' Pension Scheme — the pension part of your employer's PF contribution.
EDLI	Employees' Deposit-Linked Insurance Scheme — life insurance linked to your PF.
Gratuity	A lump sum paid for long service, calculated with the 15/26 formula.
e-Shram	The government portal where unorganised and gig workers register for a Universal Account Number.
Inspector-cum-Facilitator or	The renamed labour official who helps employers comply as well as enforcing the law.

Where these facts come from

The figures in this guide were checked in October 2026 against official and authoritative sources, including:

- Ministry of Labour and Employment, Government of India — labour.gov.in (notifications, rules and FAQs).
- Press Information Bureau — pib.gov.in (the 21 November 2025 commencement and the EPFO ceiling announcement).
- EPFO — epfindia.gov.in and passbook.epfindia.gov.in (member services and wage-ceiling FAQs).
- The Code on Wages, 2019; the Code on Social Security, 2020; the Industrial Relations Code, 2020; and the Occupational Safety, Health and Working Conditions Code, 2020.

Important

This guide is general information published by Digitalaikart, not legal, tax or financial advice, and not a substitute for reading the Codes or taking professional advice. Labour rules change, and state rules differ. Always confirm the current position for your own employment with your employer, a qualified professional or the relevant labour authority.

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